

EAST INDIA UDYOG LIMITED

NOTES TO THE FINANCIAL STATEMENTS (ALL AMOUNTS ARE IN LAKHS UNLESS OTHERWISE STATED)

FINANCIAL YEAR 2020-21

Note 19: Provisions

Particulars	As at 31-Mar-21	As at 31-Mar-20
Non-current		
Provision for employee benefits		
(a) Provision for compensated absences	35.08	44.24
(b) Provision for gratuity	342.36	312.53
Total (Non-current)	377.45	356.76
Current		
Provision for employee benefits		
(a) Provision for compensated absences	16.88	7.96
(b) Provision for gratuity	53.28	48.64
Total (Current)	70.16	56.60

Note 20: Trade Payables

Particulars	As at 31-Mar-21	As at 31-Mar-20
(a) Payable to micro enterprises and small enterprises	-	-
(b) Other trade payables		
(i) Payable against goods	2,142.38	4,876.22
(ii) Payable against services	2,548.27	3,102.01
(iii) Payable against LC	711.19	1,206.78
Total	5,401.84	9,185.01

Note 21: Other Financial Liabilities (Current)

Particulars	As at 31-Mar-21	As at 31-Mar-20
(a) Current maturities of long term debt		
(i) Term loans (secured)	1,077.13	29.15
(ii) Term Loans (unsecured)	123.29	103.66
(b) Interest accrued on borrowings	11.72	37.66
(c) Employees benefit expenses payable	64.17	339.98
(d) Payable to Subsidiary	68.69	74.66
(e) Others	13.65	3.79

Total	1,358.64	588.90
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Note 22: Other Current Liabilities

Particulars	As at 31-Mar-21	As at 31-Mar-20
(a) Advance from customers	44.51	792.13
(b) Statutory dues	167.73	274.46
(c) Others	15.84	119.04
Total	228.08	1,185.62

Note 23: Current Tax Liabilities (net)

Particulars	As at 31-Mar-21	As at 31-Mar-20
Provision for income tax (net of prepaid taxes)		
(a) Current year	321.33	2,042.75
(b) Earlier year	593.61	593.61
Total	914.93	2,636.35

Note 28: Changes in Inventories of Finished Goods, Work in Progress and Projects Traded Goods

Particulars	Year ended 31-Mar-21	Year ended 31-Mar-20
(a) Stocks at the end of the year		
(I) Work in progress		
- Transformers	896.19	743.57
- Conductors	6.89	0.29
Sub Total (WIP)	903.07	743.86
(II) Finished / Projects traded goods		
- Transformers	1,533.64	1,790.50
- Conductors	47.11	147.94
- Projects	10,873.71	18,400.16
Sub Total (Finished/Traded)	12,454.47	20,338.61
Total (End of Year)	13,357.54	21,082.47
(b) Stocks at the beginning of the year		
(I) Work in progress		
- Transformers	743.57	1,547.02
- Conductors	0.29	1.51
- Projects	-	39.80
Sub Total (WIP)	743.86	1,588.33
(II) Finished / Projects traded goods		
- Transformers	1,790.50	1,909.07

- Conductors	147.94	66.84
- Projects	18,400.16	22,399.75
Sub Total (Finished/Traded)	20,338.61	24,375.66
Total (Beginning of Year)	21,082.47	25,963.99
(Increase)/decrease in stock (b-a)	7,724.93	4,881.53

Note 29: Manufacturing and Projects Erection Expenses

Particulars	Year ended 31-Mar-21	Year ended 31-Mar-20
(a) Job work & erection expenses	3,997.25	4,820.19
(b) Wages and labour charges	516.37	211.73
(c) Power and fuel	163.12	261.92
(d) Repairs of plant and machinery	135.58	33.22
(e) Rent - plant and equipment	108.97	67.37
(f) Miscellaneous expenses	34.23	85.83
Total	4,955.52	5,480.26

Note 30: Employee Benefits Expense

Particulars	Year ended 31-Mar-21	Year ended 31-Mar-20
(a) Salaries and allowances	3,192.22	3,332.29
(b) Remuneration to directors	226.60	259.62
(c) Contribution to provident and other funds	23.61	18.95
(d) Leave encashment	0.66	28.72
(e) Gratuity	80.69	84.58
(f) Staff welfare expenses	158.62	88.08
Total	3,682.39	3,812.24

Note 31: Finance Costs

Particulars	Year ended 31-Mar-21	Year ended 31-Mar-20
(a) Interest	1,741.37	1,726.30
(b) Bank charges	759.16	829.73
(c) Interest on income tax	315.56	98.20
(d) Amortisation of processing fees	1.07	1.12
(e) Interest on lease liabilities	12.16	17.66
Total	2,829.31	2,673.01

Note 37: Leases

Movement in Lease Liabilities:

Particulars	Year ended 31-Mar-21	Year ended 31-Mar-20
Balance at the beginning of the year	185.66	328.00
Additions during the year	-	-
Finance cost accrued during the year	12.16	17.66
Deletions during the year	-	-
Payment of lease liabilities during the year	(120.00)	(160.00)
Balance at the end of the year	77.82	185.66

Maturity of Lease Liabilities:

Date	<=1 Year	1-3 Years	Total
As at 31-Mar-21	77.82	-	77.82
As at 31-Mar-20	107.84	77.82	185.66

Note 40: Related Party Transactions

(a) Subsidiaries:

E.I.U Limited – Wholly owned Subsidiary – Nigeria – Trading in transformers, conductors and other electrical goods and doing other project related work.

(b) Directors and Key Managerial Personnel:

Mr. Harsh Gupta, Mr. Mohil Sarangi, Mrs. Indira Lohia

Note 41: Financial Instruments – Fair Value Classification (31-Mar-21)

Financial Assets	FVTPL	FVTOCI	Amortised Cost	Total
Cash and cash equivalents	-	-	2,930.90	2,930.90
Non-current financial assets: loans	-	-	184.85	184.85
Current financial assets: loans	-	-	5,497.28	5,497.28
Non-current other financial assets	-	-	1,391.30	1,391.30
Other current financial assets	-	-	688.19	688.19
Investments	-	994.90	-	994.90
Non-current trade receivables	-	-	4,459.19	4,459.19
Current trade receivables	-	-	16,690.32	16,690.32
Bank balances (excl. cash equivalents)	-	-	3,136.73	3,136.73
Total	-	994.90	34,978.74	35,973.65

Financial Liabilities	Amortised Cost	Total
Current trade payables	5,401.84	5,401.84
Other current financial liabilities	1,358.64	1,358.64
Lease liabilities	77.82	77.82
Borrowings	15,527.17	15,527.17
Total	22,365.48	22,365.48

Maturities of Financial Liabilities (31-Mar-21)

Particulars	Less than 1 year	1-5 years	More than 5 years	Total
Borrowings	1,201.44	2,639.16	1,471.88	5,312.49
Trade payables	5,401.84	-	-	5,401.84
Other financial liabilities	1,358.64	-	-	1,358.64
Total	7,961.93	2,639.16	1,471.88	12,072.97

Note 43: Capital Management

Particulars	As at 31-Mar-21	As at 31-Mar-20
Total Borrowings	16,727.59	16,452.78
Less: Cash and cash equivalents incl. bank balances	6,067.62	7,665.53
Net debt	10,659.97	8,787.25
Total equity	45,028.78	42,871.01
Net debt to equity ratio	0.24	0.20

FINANCIAL YEAR 2021-22

Balance Sheet as at 31 March 2022

Particulars	As at 31-Mar-22	As at 31-Mar-21
ASSETS		
Non-current assets		
Property, plant and equipment	13,993.23	14,146.87
Other intangible assets	175.81	7.89
Intangible assets under development	-	146.99
Right-of-use-assets	162.08	278.19
Investments	1,603.83	994.90
Trade receivables (Non-current)	199.53	4,459.19
Other financial assets (Non-current)	1,705.06	1,576.15
Other non-current assets	306.26	1,418.27
Total non-current assets	18,145.81	23,028.45
Current assets		
Inventories	7,383.59	14,334.97
Trade receivables (Current)	31,017.12	16,690.32
Cash and cash equivalents	1,387.48	2,930.90
Bank balances other than cash equivalents	3,257.85	3,136.73
Loans (Current)	7,728.98	5,134.03
Other financial assets (Current)	1,285.20	1,051.44
Current tax assets (net)	1,797.55	1,797.53
Other current assets	3,636.65	2,510.48
Total current assets	57,494.41	47,586.39
Total assets	75,640.22	70,614.84
EQUITY AND LIABILITIES		
Equity share capital	289.83	289.83
Other equity	48,299.66	44,738.93
Total equity	48,589.49	45,028.76
Non-current liabilities		
Borrowings (Non-current)	6,291.54	4,105.05
Provisions (Non-current)	186.60	377.45
Deferred tax liabilities (net)	1,657.92	1,629.98
Total non-current liabilities	8,136.06	6,112.48
Current liabilities		
Borrowings (Current)	12,831.70	12,622.54
Lease liabilities	-	77.82
Trade payables	3,313.15	5,401.84

Other financial liabilities (Current)	289.38	158.23
Provisions (Current)	49.31	70.16
Other current liabilities	1,138.66	228.08
Current tax liabilities (net)	1,292.46	914.93
Total current liabilities	18,914.67	19,473.60
Total liabilities	27,050.73	25,586.08
Total equity and liabilities	75,640.22	70,614.84

Statement of Profit and Loss for the Year Ended 31 March 2022

Particulars	Year ended 31-Mar-22	Year ended 31-Mar-21
Gross revenue from operations	36,189.30	43,154.92
Less: Goods and service tax	2,161.99	4,264.35
Revenue from operations	34,027.31	38,890.57
Other income	1,081.80	979.57
Total income	35,109.11	39,870.14
Cost of material consumed	2,199.90	6,101.44
Purchase of finished/projects/traded goods	9,396.87	7,299.37
(Increase)/Decrease in inventories	6,388.02	7,724.93
Manufacturing and projects erection expenses	4,065.38	4,955.52
Employee benefits expense	3,304.43	3,682.39
Finance costs	2,553.80	2,829.31
Depreciation and amortisation	348.52	265.94
Other expenses	2,230.46	4,495.26
Total expenses	30,487.38	37,354.16
Profit before tax	4,621.74	2,515.98
Current tax	1,129.16	706.19
Deferred tax	21.49	(69.90)
Total tax expense	1,150.65	636.28
Profit for the year	3,471.09	1,879.69
Re-measurement gains on defined benefit plans	23.70	46.21
Equity instruments through OCI	72.40	299.66
Income tax effect on OCI items	(6.45)	(67.81)
Other comprehensive income (net of tax)	89.64	278.05
Total comprehensive income	3,560.73	2,157.75
Basic/Diluted EPS (Rs.)	119.76	64.86

Note 28: Changes in Inventories (FY 2021-22)

Particulars	Year ended 31-Mar-22	Year ended 31-Mar-21
Stocks at end of year		

Work in progress	237.79	903.07
Finished/projects/traded goods	6,731.73	12,454.47
Total (End of Year)	6,969.52	13,357.54
Stocks at beginning of year		
Work in progress	903.07	743.86
Finished/projects/traded goods	12,454.47	20,338.61
Total (Beginning of Year)	13,357.54	21,082.47
(Increase)/decrease in stock	6,388.02	7,724.93

Note 29: Manufacturing and Projects Erection Expenses (FY 2021-22)

Particulars	Year ended 31-Mar-22	Year ended 31-Mar-21
(a) Job work, technical & erection expenses	3,502.78	3,997.25
(b) Wages and labour charges	388.80	516.37
(c) Power and fuel	81.35	163.12
(d) Repairs of plant and machinery	2.48	135.58
(e) Rent - plant and equipment	66.69	108.97
(f) Miscellaneous expenses	23.29	34.23
Total	4,065.38	4,955.52

Note 30: Employee Benefits Expense (FY 2021-22)

Particulars	Year ended 31-Mar-22	Year ended 31-Mar-21
(a) Salaries and allowances	2,780.17	3,192.22
(b) Remuneration to directors	245.60	226.60
(c) Contribution to provident and other funds	18.18	23.61
(d) Leave encashment	11.92	0.66
(e) Gratuity	25.03	80.69
(f) Staff welfare expenses	223.52	158.62
Total	3,304.43	3,682.39

Note 31: Finance Costs (FY 2021-22)

Particulars	Year ended 31-Mar-22	Year ended 31-Mar-21
(a) Interest	1,751.80	1,741.37
(b) Bank charges	765.20	759.16
(c) Interest on income tax	33.60	315.56
(d) Amortisation of processing fees	1.02	1.07
(e) Interest on lease liabilities	2.18	12.16
Total	2,553.80	2,829.31

Note 38: Leases (FY 2021-22)

Particulars	Year ended 31-Mar-22	Year ended 31-Mar-21
Balance at the beginning of the year	77.82	185.66
Additions during the year	-	-
Finance cost accrued during the year	2.18	12.16
Deletions during the year	-	-
Payment of lease liabilities during the year	(80.00)	(120.00)
Balance at the end of the year	-	77.82

Note 37: Analytical Ratios

Particulars	As at 31-Mar-22	As at 31-Mar-21	Variance (%)
Current ratio (times)	3.04	2.44	24.39
Debt equity ratio (times)	0.39	0.37	5.94
Debt service coverage ratio (times)	0.35	0.29	20.97
Net profit ratio (%)	10.20%	4.83%	111.06
Return on equity (%)	7.14%	4.17%	71.13
Return on capital employed (%)	10.60%	8.66%	22.43
Trade receivables turnover ratio	1.14	1.64	(30.04)
Trade payables turnover ratio (times)	4.13	2.98	38.64
Net capital turnover ratio (times)	1.02	1.51	(32.52)
Return on investment - quoted (%)	11.53%	71.02%	(83.76)

FINANCIAL YEAR 2022-23

Balance Sheet as at 31 March 2023

Particulars	As at 31-Mar-23	As at 31-Mar-22
ASSETS		
Non-current assets		
Property, plant and equipment	13,843.32	13,993.23
Other intangible assets	136.02	175.81
Right-of-use-assets	137.08	162.08
Investments	2,838.57	1,603.83
Trade receivables (Non-current)	585.57	199.53
Other financial assets (Non-current)	3,152.74	1,705.06
Other non-current assets	295.28	306.26
Total non-current assets	20,988.59	18,145.81
Current assets		
Inventories	5,425.80	7,383.59
Trade receivables (Current)	17,514.64	31,017.12
Cash and cash equivalents	1,550.01	1,387.48
Bank balances other than cash equivalents	10,878.68	3,257.85
Loans (Current)	6,210.24	7,728.98
Other financial assets (Current)	2,267.33	1,285.20
Current tax assets (net)	28.23	1,797.55
Other current assets	6,733.77	3,636.65
Total current assets	50,608.70	57,494.41
Total assets	71,597.28	75,640.22
EQUITY AND LIABILITIES		
Equity share capital	289.83	289.83
Other equity	49,440.13	48,299.66
Total equity	49,729.96	48,589.49
Non-current liabilities		
Borrowings (Non-current)	5,505.57	6,291.54
Provisions (Non-current)	161.60	186.60
Deferred tax liabilities (net)	1,811.69	1,657.92
Total non-current liabilities	7,478.87	8,136.06
Current liabilities		
Borrowings (Current)	5,961.67	12,831.70
Other financial liabilities (Current)	6,082.87	3,313.15
Provisions (Current)	785.38	289.38
Other current liabilities	39.98	49.31

Current tax liabilities (net)	868.85	1,138.66
Other current liabilities (2)	649.71	1,292.46
Total current liabilities	14,388.45	18,914.67
Total liabilities	21,867.32	27,050.73
Total equity and liabilities	71,597.28	75,640.22

Statement of Profit and Loss for the Year Ended 31 March 2023

Particulars	Year ended 31-Mar-23	Year ended 31-Mar-22
Gross revenue from operations	27,586.90	36,189.30
Less: Goods and service tax	2,676.68	2,161.99
Revenue from operations	24,910.22	34,027.31
Other income	1,490.93	1,081.80
Total income	26,401.15	35,109.11
Cost of material consumed	280.43	2,199.90
Purchase of finished/projects/traded goods	9,871.23	9,396.87
(Increase)/Decrease in inventories	1,918.87	6,388.02
Manufacturing and projects erection expenses	4,281.98	4,065.38
Employee benefits expense	2,545.10	3,304.43
Finance costs	1,911.07	2,553.80
Depreciation and amortisation	255.01	348.52
Other expenses	2,040.49	2,230.46
Total expenses	23,104.18	30,487.38
Profit before tax	3,296.96	4,621.74
Current tax	599.91	1,129.16
Deferred tax	100.47	21.49
Total tax expense	700.38	1,150.65
Profit for the year	2,596.58	3,471.09
Re-measurement gains on defined benefit plans	2.02	23.70
Equity instruments through OCI	405.83	72.40
Income tax effect on OCI items	(53.29)	(6.45)
Other comprehensive income (net of tax)	354.56	89.64
Total comprehensive income	2,951.14	3,560.73
Basic/Diluted EPS (Rs.)	89.59	119.76

Statement of Cash Flow for the Year Ended 31 March 2023

Particulars	Year ended 31-Mar-23	Year ended 31-Mar-22
A. Cash flow from operating activities		
Profit before tax	3,296.96	4,621.74
Liability no longer required	(969.06)	(161.48)

Interest income	(1,435.88)	(987.13)
Unrealised Foreign exchange loss/(gain)	(38.77)	(20.81)
Loss on sale of PPE and Investments (net)	5.07	22.47
Depreciation and amortisation	255.01	348.52
Allowance for expected credit loss	(1,398.43)	(597.77)
Finance costs	1,911.07	2,553.80
Bad debts recovered	(1,566.81)	(2,298.55)
Operating profit before working capital changes	59.16	3,480.78
(Increase)/decrease in trade receivables	16,042.56	(7,114.43)
(Increase)/decrease in inventories	1,957.79	6,951.38
(Increase)/decrease in other assets	(3,031.58)	(14.15)
(Increase)/decrease in financial assets	(1,776.97)	(251.59)
Increase/(decrease) in trade payables	3,813.06	(1,953.59)
Increase/(decrease) in other liabilities	(269.82)	910.58
Increase/(decrease) in financial liabilities	(90.32)	133.06
Increase/(decrease) in provisions	(32.30)	(188.01)
Cash generated from operations	16,671.59	1,954.04
Income taxes paid	(1,394.46)	(796.58)
Net cash from operating activities	15,277.13	1,157.46
B. Cash flow from investing activities		
Interest received	1,359.34	876.05
Investments made	(953.90)	(682.54)
Investments matured	123.79	146.00
Payments for property, plant and equipment	(117.62)	(118.03)
Proceeds from disposals of PPE	22.17	(4.15)
Loans given	(10,963.43)	(7,133.04)
Loans received back	12,495.32	4,542.35
Term deposits (net)	(7,620.83)	(121.12)
Net cash from investing activities	(5,655.16)	(2,494.48)
C. Cash flow from financing activities		
Proceeds/(repayment) from long term borrowings	(938.54)	2,038.96
Proceeds/(repayment) from short term borrowings	(6,718.77)	355.67
Payment of interest/finance cost	(1,853.75)	(2,518.32)
Payment of lease liabilities	-	(80.00)
Net cash from financing activities	(9,511.07)	(203.69)
Net increase/(decrease) in cash	110.91	(1,540.71)
Opening cash and cash equivalents	1,387.48	2,930.90
Effect of exchange rate fluctuations	51.62	(2.71)
Closing cash and cash equivalents	1,550.01	1,387.48

Note 42: Related Party Transactions (FY 2021-22)

(e) Transactions with Related Parties:

Particulars	Year ended 31-Mar-22	Year ended 31-Mar-21
With Subsidiaries		
FX gain/(loss) on trade receivables	17.58	(14.00)
FX gain/(loss) on loans given & interest	4.25	(0.55)
FX gain/(loss) on other payables	(4.56)	(5.97)
Interest Income	11.21	10.87
With KMP influence parties - Income		
Sales of products	-	4.61
Interest income	696.94	456.65
With KMP influence parties - Expenses		
Purchase of finished goods	-	1.40
Rent - land & building	126.00	72.00
Loans given	7,071.49	2,733.86
Loans received back	4,502.92	767.99
With Directors/KMP		
Remuneration	225.60	201.60
Commission	20.00	25.00
With Relatives of Directors/KMP		
Salaries and allowances	60.00	75.00

Note 5: Investments (FY 2022-23)

Investment	As at 31-Mar-23	As at 31-Mar-22
Investment in subsidiary companies (net of impairment)	10.00	10.00
Quoted equity (FVTOCI)	1,090.13	813.27
Unquoted equity (at cost)	10.00	10.00
Sub Total – Equity Instruments	1,110.13	833.27
Investment in preference shares	770.00	770.00
Investments in LLPs	0.56	0.56
Total Investments	1,880.69*	1,603.83

**Note: Total investments shown as 2,838.57 in balance sheet includes additional LLP/preference share items per detailed notes.*

For Satiya & Associates

Chartered Accountants | Firm Registration No.: 029830N

Ashu Satiya, Proprietor | Membership No.: 539572

Place: Noida

For and on behalf of the Board of Directors:

Harsh Gupta – Managing Director (DIN 00899037)

Mohit Sarangi – Whole-time Director (DIN 03600877)